

Federal Reserve

Jay Powell says Fed will 'keep at it' in hawkish inflation speech

Chair of US central bank uses Jackson Hole address to warn of 'sustained period' of lower growth



Jay Powell with colleagues Lael Brainard and John Williams at the Jackson Hole economic symposium © David Paul Morris/Bloomberg

Colby Smith in Jackson Hole, Wyoming and **Eric Platt** in New York

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Jay Powell declared the Federal Reserve “must keep at it until the job is done” as he used a speech at Jackson Hole to deliver his most hawkish message to date on the US central bank’s determination to tame surging inflation by raising interest rates.

In a hotly anticipated address, the Fed chair said successfully reducing [inflation](#) would probably result in lower economic growth for “a sustained period”. To do that, interest rates would need to stay at a level that restrains growth “for some time”, he warned.

The US stock market slid sharply after Powell spoke, with the benchmark S&P 500 index falling 3.4 per cent, while the tech-heavy Nasdaq Composite tumbled 3.9 per cent. It was the biggest one-day decline for both indices since mid-June.

Powell predicted there would “very likely be some softening of labour market conditions” and “some pain” for households and businesses. “A failure to restore price stability would mean far greater pain,” he added.

Yields on short-dated US government debt climbed. On the policy-sensitive two-year Treasury note, the yield increased 0.01 percentage points to 3.38 per cent. The yield on the 10-year note — which moves with growth and inflation expectations — was flat at 3.03 per cent. Yields rise when a bond’s price falls.

Powell's speech contrasted with his message at last year's Jackson Hole symposium, when he predicted surging consumer prices were a "transitory" phenomenon stemming from supply chain-related issues. It has since become clear that inflation is demand-driven and therefore likely to persist for longer.

"We are taking forceful and rapid steps to moderate demand so that it comes into better alignment with supply, and to keep inflation expectations anchored," Powell said.

The Fed chair harked back to the lessons of the 1970s, when the US central bank presided over a period of turmoil after it made several policy blunders and failed to rein in inflation. That forced Paul Volcker, who became Fed chair in August 1979, to choke the economy and cause more pain than would have been necessary if officials had acted more quickly.

Fed watchers noted that "Keeping At It" — a phrase Powell used twice in his speech — is the title of Volcker's 2018 memoir, which was published just over a year before he died.

"The historical record cautions strongly against prematurely loosening policy," Powell said.

The main lesson of that period was "central banks can and should take responsibility for delivering low and stable inflation," he said, reiterating the Fed's "unconditional" commitment to tackling price growth.

He also highlighted the risk posed by inflation remaining too high for too long, setting off a chain reaction with people expecting further price increases.

"The longer the current bout of high inflation continues, the greater the chance that expectations of higher inflation will become entrenched," he warned.

Financial markets had rallied in recent weeks amid expectations the Fed might ease up its efforts to damp demand as economic data deteriorated further and concerns grew over the [risks of being too heavy-handed](#).

Last month the central bank delivered its second consecutive 0.75 percentage point rate rise, bringing the federal funds rate to a new target range of 2.25 per cent to 2.50 per cent.

Fed officials are debating whether a third increase of the same magnitude will be necessary at its meeting in September, or if they should opt for a half-point rise instead.

Futures markets suggested traders accept the central bank could keep interest rates higher for longer. It marked a noticeable deviation, given investors had been reluctant to bet that the Fed would keep interest rates high in the face of a slowing economy.

“The Fed is willing to take more short-term pain to ensure the longer-term gain of price stability,” said Ashish Shah, the chief investment officer of public investing at Goldman Sachs Asset Management. “You are unlikely to see a dovish pivot into weaker growth. They would rather make sure that inflation and inflation expectations are sufficiently anchored.”

Powell said at some point it would be appropriate to slow the pace of interest rate increases. But he dismissed recent data showing a slight easing of inflation as insufficient, adding: “A single month’s improvement falls far short of what the committee will need to see before we are confident that inflation is moving down.”

Most officials say they can bring inflation under control without causing a painful recession. That runs counter to the consensus view among Wall Street economists, who predict at least a mild recession some time in the next year.

Economists also expect the US unemployment rate to rise beyond the 4.1 per cent broadly anticipated by Federal Open Market Committee members and regional bank presidents in June. The unemployment rate, a bright spot as the economic picture darkens, hovers at a multi-decade low of 3.5 per cent.

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